

of his time. Heavily involved in the market himself, he too surrendered to the basic speculative impulse, which is to believe whatever best serves the good fortune you are experiencing. In the autumn of 1929, he gained enduring fame for the widely reported conclusion that “stock prices have reached what looks like a permanently high plateau.”

There was also optimistic expression from Harvard, Michigan, Ohio State, and notably from a young Princeton economist, one Joseph Stagg Lawrence, who, as stocks reached their peak, offered the widely quoted comment, “The consensus of judgment of the millions whose valuations function on that admirable market, the Stock Exchange, is that stocks are not at present overvalued.” He added the question, “Where is that group of men with the all-embracing wisdom which will entitle them to veto the judgment of this intelligent multitude?”

A few did, and they did not escape articulate and even savage denunciation. As earlier noted, Paul M. Warburg, who, at least until he spoke out against the market, had been one of the most respected bankers of his time, was especially condemned, as was the equally well-known, if somewhat less reputable, Roger Babson.

Beginning on October 21 came the end.

The sequence of events that made the history of those days has often been detailed, and there is little need for an extended account here. The market opened badly the week of October 21, with heavy trading by the standards of the time. Things turned worse on Wednesday; Thursday was the first of the days of disaster. Prices dropped seemingly without limit that morning; the ticker, as had been the case on Monday, ran well behind the trading. Calls went out for more margin to people who knew not their full misfortune. The common reference was again to panic.

However, at noon on that Thursday things turned briefly for the better. The great bankers of the time, including Thomas Lamont of Morgan's, Mitchell of the National City, and Wiggin of the Chase, met at the House of Morgan and resolved to do something about it. Richard Whitney, the Morgan broker, then appeared on the floor of the Exchange to make stabilizing purchases with money the great bankers had placed at his disposal. As in the days of John Law, the Bubble, and other episodes, it was thought that by reassuring statement and action all could again be made as